

Procurement Policy

Purpose

The Procurement Policy ensures that the purchase of goods and services is conducted ethically, transparently and in a manner that secures best value for the company. It establishes procedures and controls to prevent waste, fraud and conflicts of interest, and applies to all departments and employees involved in purchasing.

Non-Negotiable Principles

- Compliance with all applicable laws, regulations and contractual obligations.
- Financial controls and approvals: purchases must follow the approval matrix and no purchase may be made without documented authorization.
- Supplier due diligence: suppliers must be vetted for financial stability, legal compliance and reputation before engagement.
- Ethical conduct: employees shall avoid conflicts of interest and refuse gifts or incentives from vendors.
- Record keeping: purchase orders, quotes, approvals and invoices must be retained for a minimum of seven years.

Procurement Procedure

- **Requisition:** The requestor identifies a need and creates a requisition, including specifications, estimated cost and justification.
- **Vendor selection:** For purchases over \$1,000, the requestor must obtain at least three competitive quotes. Purchases over \$25,000 require a formal bidding process. Sole-source justifications must be documented.
- **Approval:** The requisition is routed for approval according to the Approval Matrix. The budget owner, department head and CFO (if applicable) must provide approval before a purchase order is issued.
- **Purchase order issuance:** The procurement team issues a purchase order to the selected vendor, incorporating negotiated terms and conditions.
- **Receiving and inspection:** Upon delivery of goods or completion of services, the requestor verifies that the order meets specifications. Discrepancies must be reported to procurement immediately.
- **Invoice processing:** The vendor submits an invoice referencing the purchase order. Finance matches the invoice against the purchase order and receiving documentation before releasing payment.

Spending Thresholds

Purchase Value	Requirements
\$0 – \$1,000	May use corporate card or petty cash; obtain approval from direct manager.
\$1,001 – \$25,000	Obtain three quotes; approval from Department Head and Finance.
\$25,001 – \$100,000	Formal competitive bidding; approval from CFO.
Above \$100,000	Board or Executive approval with documented business case.

Prohibited Practices

- Splitting purchases to circumvent thresholds or competitive bidding requirements.
- Engaging vendors without proper due diligence or selecting suppliers based on personal relationships.
- Accepting gifts, entertainment or personal benefits from vendors.
- Making commitments (verbal or written) without an approved purchase order.

- Failing to record transactions in the procurement system or bypassing finance controls.

Compliance and Review

All employees involved in procurement are responsible for adhering to this policy. The procurement team will conduct periodic reviews of purchasing activity to ensure compliance and will report significant findings to the CFO. Non-compliance may result in disciplinary action, up to and including termination of employment.